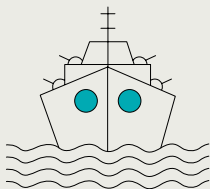
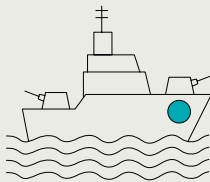


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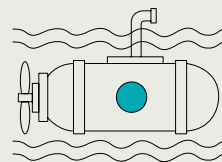
MAJOR EVENTS DURING Q3FY25



● COMPLETED DELIVERY OF THE FOURTH DESTROYER OF THE P15B CLASS "SURAT" TO THE INDIAN NAVY

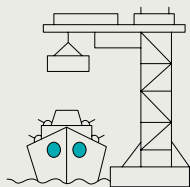


● DELIVERED THE FIRST STEALTH FRIGATE OF THE P17A CLASS "NILGIRI" TO THE NAVY



● MINISTRY OF DEFENCE INKED A ₹1,900 CRORE CONTRACT FOR CONSTRUCTION OF AN AIR INDEPENDENT PROPULSION PLUG

SOURCE NIRMAL BANG REPORT



HOW THE ORDER BOOK STANDS

₹27,600^{CR}
SHIPBUILDING

₹9,650^{CR}
SUBMARINES

NOTE DATA AS OF DECEMBER 2024 SOURCE NIRMAL BANG REPORT

we operate in just one," says Singhal, who retired on February 28. The entry of private players is increasing competition. "There is a lot that we can do, for instance in exports. Domestic defence is 98% of our business and we would like that to be 80% in five-six years," he says. Take offshore, an area where MDL was a serious player 20 years ago. "We have started that vertical all over again with orders of ₹7,500 crore from ONGC," he says. This will reduce the dependence on government defence projects. "MDL has been diversifying revenue through initiatives such as revival of the offshore business. It has also expanded into maintenance, repair and overhaul of helicopters," says Samco Securities' Mour.

Profitability is decent as defence orders have margins of 8-10%. "These are long-gestation orders. If they are for over 10 years, there are many avenues for innovation," says Singhal. The company has its own design house. "In that kind of a timeframe, it is possible to im-

prove efficiencies, work around costs and protect margins. Those efforts will continue," he says.

"The export market has been about penetrative pricing since we need to prove ourselves. Our experience suggests clients looking for high quality are not that price-conscious, with a preference for a good shipyard," says Singhal. In late 2023, Prime Minister Narendra Modi spoke about how India will be among the top-five shipbuilding and repair nations of the world in the next decade. Singhal says that is a clear opportunity for MDL. "If you look at the global scenario, there is a demand-supply gap in shipbuilding. It is possible for MDL to double revenues in the next five years." The capex outlay for the period is ₹5,000 crore. "We are exploring a larger footprint outside India through M&As," he says. The growth engine just keeps purring. **BT**

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